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Particulars	`	Particulars	`
Gross Profit	12,500	Interest received	100
Discount allowed	60	Carriage outwards	100
Rent	500		

(**Answer**: Net profit: ` 11,940)

10. Ascertain net profit or net loss from the following:

Particulars	`	Particulars	`
Gross profit	12,000	Administration expenses	4,000
Salary (office)	9,000	Freight outwards	3,000
Apprenticeship premium received	5,000	Advertisement	2,000

(**Answer**: Net loss: ` 1,000)

11. From the following details, prepare profit and loss account.

Particulars	`	Particulars	`
Gross profit	50,000	Interest received	2,000
Office rent	10,000	Discount received	3,000
Depreciation on office assets	8,000	Carriage outwards	2,500
Discount allowed	12,000	Insurance on office building	3,500
Advertisement	4,000	General expenses	3,000
Audit fees	1,000	Freight inwards	1,000

(**Answer**: Net profit ` 11,000)

(**Hint**: Freight inwards will not appear in profit and loss account as it is a direct expense)

12. From the following information, prepare profit and loss account for the year ending 31st December, 2016.

Particulars	`	Particulars	`
Gross loss	60,000	Printing and stationery (office)	2,000
Promotional expenses	5,000	Legal charges	5,000
Distribution expenses	15,000	Bad debts	1,000
Commission paid	7,000	Depreciation	2,000
Interest on loan paid	5,000	Rent received	4,000
Packing charges (on sales)	4,000	Loss by fire not covered by insurance	3,000
Dividend received	3,000		

(**Answer**: Net loss: ` 1,02,000)